Policymaking on the election clock

The clock that counts the years to the next elections weighs heavily upon this thinking. The art of politics lies in thinking through these time horizons, launching a portfolio of reforms in year 1 and year 2, which induce pain (attenuated by specific transfers to affected parties) in year 2 and year 3, and yield overall gains by year 4 and year 5.

This requires extreme capability in the team that wins power. The incoming team cannot just land up in power, take control of the levers of power, and wield power in random ways based on political compulsions and ideology. They need to have a portfolio of policy proposals, backed by teams of experts, with fully articulated planning of actions, anticipated impacts, design of the measurement system to monitor the process on an ongoing basis, identification of the persons negatively impacted, and possibly the design of compensatory transfers to defuse the unhappiness.

There is a crucial role for the communication strategy that is put into play from the date the cabinet is formed. In this age of Twitter, ‘communication strategy’ consists of catchy slogans and choice abuse. The true role of communication, however, lies in improving coordination on an economy scale. The political and technocratic leadership must have a shared strategy and shared messaging, through which the full picture is consistently and strongly communicated. This would help align expectations and ensure that private persons change their strategies in ways that are coherent with the strategy of reforms.

If there is no strategy in reforms, or if it is not properly communicated to the private sector, businesses and financial investors will make mistakes in the formulation of their strategies, which will result in reduced economic performance. This will increase the time lag between the policy change and its full beneficial impact.